

KAIA DLT FOUNDATION

DLT FRAMEWORK

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Note: This is a working draft prepared by Banks Legal Limited based on the Kaia Blockchain White Paper and the Kaia DLT Foundation Charter dated 16 August 2024. It has not been reviewed by the Client, confirmed by a Security Audit, or approved by the DLT Foundation Council. Bracketed items marked [INFORMATION REQUIRED] identify facts, figures or confidential detail that must be supplied or confirmed by the DLT Foundation before this document can be finalised, published and filed, except when a specific comment is made.

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1. Purpose and Scope

This DLT Framework ("Framework") is established by the Kaia DLT Foundation ("Foundation") in accordance with the ADGM DLT Foundations Regulations 2023 ("Regulations"), in particular the Schedule: Definitions thereof, and pursuant to the DLT Foundation's Charter dated 16 August 2024 ("Charter").

The Framework constitutes a standalone governance document, separate from the White Paper and the Charter, governing the DLT Foundation's use and oversight of Distributed Ledger Technology ("DLT").

It describes the DLT systems employed by the DLT Foundation, the roles and responsibilities of the DLT Foundation and third-party providers in respect of those systems, the organisational and technical security measures in place to protect their integrity, the procedures for periodic Security Audits, and the version control and publication mechanisms that ensure the Framework remains current and publicly accessible.

This Framework is adopted by the DLT Foundation Council by Resolution of Councillors pursuant to Charter Clause 24 and Section 25(3) of the Regulations, and is subject to amendment in accordance with the procedures set out in Section 8 of this Framework.

Regulatory basis: Sections 7(1)(d), 23, 24 and 25 of the Regulations; Schedule: Definitions of the Regulations (definition of "DLT Framework"); Charter Clauses 11, 22 and 24. **Drafting convention:** references to "Section [number]" without further qualification in this Framework refer to the Regulations; references to provisions of the Charter are identified expressly as "Charter Clause [number]", to avoid any ambiguity between the two instruments, which use overlapping section numbers for different content.

2. Definitions

For the purposes of this Framework, the following terms have the meanings set out below. Terms not defined herein shall have the meanings ascribed to them in the Regulations or the Charter.

Term	Definition
Charter	The Kaia DLT Foundation Charter dated 16 August 2024, as amended from time to time in accordance with its terms.

Term	Definition
Council / DLT Foundation Council	The governing body of the DLT Foundation, comprising the Councillors, constituted in accordance with the Charter. Not to be confused with the KAIA Governance Council, below.
Councillor(s)	A member of the DLT Foundation Council.
Delegated Matter(s)	Decisions related to the KAIA Governance Council, as set out in Schedule 2 to the Charter.
DLT	Distributed ledger technology, as defined in the ADGM DLT Foundations Regulations 2023.
DLT Framework	This document, as approved by the DLT Foundation Council and amended from time to time in accordance with Section 8 hereof.
Founder(s)	Finschia DLT Foundation (ADGM Registered Number 15682) and Klaytn Foundation Limited (Singapore Registered Number 202019424C).
Foundation	Kaia DLT Foundation, constituted under the ADGM DLT Foundations Regulations 2023.
Incident	As defined under Section 6.6.
Incident Response Plan	As Defined under Section 6.6.1.
IS Company	Information Security Company: a reputable information security firm appointed to conduct Security Audits of the DLT Foundation's DLT and DLT Framework, in accordance with Section 7(1)(d) of the Regulations.
KAIA Governance Council (GC)	Tokenholders who have become KAIA Network node validators in accordance with the White Paper and who are thereby responsible for block creation and verification and eligible to undertake governance proposal activities on Delegated Matters. Decisions of the KAIA Governance Council are subject to review, and where applicable veto, by the DLT Foundation Council.
KAIA Network	The DLT Foundation's public blockchain platform.
KAIA Token(s)	The blockchain-native utility token of the KAIA Network. Ticker: KAIA.
KVM	Kaia Virtual Machine, a derivative execution environment of the Ethereum Virtual Machine (EVM) used to execute smart contracts on the KAIA Network.
Monitored Event	As defined under Section 6.5.3
Monitored Systems	As defined under Section 6.5.1
Registrar	The Registrar of the Abu Dhabi Global Market Registration Authority.

Term	Definition
Regulations	The ADGM DLT Foundations Regulations 2023, as amended from time to time.
Reserved Matter(s)	Rights or powers of the DLT Foundation Council, as set out in Schedule 1 to the Charter.
Resolution of Councillors	A decision taken by the DLT Foundation Council in accordance with the quorum and majority requirements set out in the Charter.
Security Audit	An audit conducted by the IS Company to assess and confirm the integrity, security and consistency of the DLT Foundation's DLT and DLT Framework with applicable best practices, as required by Sections 23(4) and 25(3) of the Regulations and Charter Clause 22.
System Contract	A smart contract that manages part of the KAIA Network protocol, including AddressBook, GovParam and SimpleBlsRegistry, as further described in Section 3.2 of this Framework.
Tokenholders	Holders of KAIA Tokens, as described in the White Paper and the Charter.
Tokenomics Paper	The DLT Foundation's Tokenomics Paper, is issued as a section within the White Paper.
Validator	An operator of a Consensus Node responsible for block creation and verification on the KAIA Network, subject to the minimum staking requirement set out in the White Paper.
White Paper	The Kaia Blockchain White Paper dated August 2024, as amended from time to time.

3. DLT Coverage and On-Chain Footprint

This Section describes the distributed ledger technology used by the DLT Foundation, the smart contracts deployed on its behalf, the technical parameters of the KAIA Token, and the controls or governs, on relevant network.

3.1 Distributed Ledger Technology Currently in Use

The DLT Foundation currently operates on the KAIA Network, a public, Ethereum Virtual Machine (EVM)-compatible Layer 1 blockchain resulting from the integration of the former Klaytn and Finschia main nets. The KAIA Network uses an optimised implementation of Istanbul Byzantine Fault Tolerance (“IBFT”), incorporating Practical Byzantine Fault Tolerance (“PBFT”) principles adapted to blockchain consensus, and operates through three categories of nodes: Consensus Nodes (“CN”), managed by Validators and responsible for block creation; Proxy Nodes (“PN”), which interface between Consensus Nodes and the wider network; and Endpoint Nodes (“EN”), which serve external requests. Block proposers are selected through a Verifiable Random Function (“VRF”) to reduce predictability and resistance to targeted denial-of-service attacks.

As at the date of this Framework, the KAIA Network’s reported performance characteristics are: transaction throughput of approximately 4,000 transactions per second; block creation time of approximately one second; and immediate transaction finality upon block completion. Smart contracts are executed through the Kaia Virtual Machine (“KVM”), a derivative of the Ethereum Virtual Machine supporting the Solidity programming language and compatible development toolkits.

3.2 Smart Contract Registry

The following table constitutes the DLT Foundation’s registry of System Contracts and other smart contracts that it deploys, controls or governs. This registry shall be maintained and updated in accordance with the amendment procedure set out in Section 8.3 of this Framework whenever a new contract is deployed or an existing contract is modified.

Contract Name	Network	Standard	Function	Block Explorer
AddressBook	KAIA Network (Mainnet)	https://kips.kaia.io/KIPs/kip-81	Manages the list of Validators participating in block creation and verification.	https://kaiascan.io/en/address/0x000000000000000000000000000000400
GovParam	KAIA Network (Mainnet)	https://kips.kaia.io/KIPs/kip-81	Key-value storage enabling enforceability of on-chain governance	https://kaiascan.io/en/address/0x362976cc2ef6751de6bf6008e3e90e1e02deca51

Contract Name	Network	Standard	Function	Block Explorer
			proposals; Validators read and apply approved network parameter changes from the designated activation block.	
SimpleBlsRegistry	KAIA Network (Mainnet)	https://kips.kaia.io/KIPs/kip-113	Stores BLS keys used by Validators.	https://kaiascan.io/en/address/0x3e80e75975bdb8e04b800485dd28bebec6d97679

Note: The System Contracts listed above are managed under multi-signature arrangements, as described in Section 6.2 of this Framework. Contract addresses, precise network identifiers and audit status are to be confirmed by the DLT Foundation and inserted prior to filing. Future contracts, including any contracts deployed in connection with the transition toward a permissionless validator network described in the White Paper, shall be added to this registry prior to or at the time of deployment, subject to the amendment procedure in Section 8.3.

4. Governance Alignment with the Charter

This Section describes how the governance of the DLT Foundation's DLT systems is aligned with the Charter and the Regulations.

4.1 Organisational and Governance Structure

The DLT Foundation's Organisational and Governance Structure, as set out in the Charter, comprises the DLT Foundation Council, the Founders, the Guardian (if and when appointed) and the Tokenholders. In addition, and specific to the operation of the KAIA Network, Tokenholders who become Validators (having staked the minimum amount of KAIA Tokens required under the White Paper) constitute the KAIA Governance Council, a body distinct from the DLT Foundation Council. The KAIA Governance Council undertakes governance proposal activities in respect of the Delegated Matters set out in Schedule 2 to the Charter. Its decisions are subject to review, and where applicable veto, by the DLT Foundation Council in accordance with Charter Clause 18(d) and the Veto Rights described in Charter Clause 11.

This Framework does not restate the composition, appointment, quorum or voting requirements of the DLT Foundation Council or the KAIA Governance Council, which are governed exclusively by the Charter and, in respect of Tokenholder participation, the White Paper.

4.2 DLT Framework Approval and Amendment Process

This Framework was approved, and any update to it must be approved, by the DLT Foundation Council by Resolution of Councillors, in accordance with Charter Clause 24(a) and Section 25(3) of the Regulations. The amendment of this Framework is a Reserved Matter of the DLT Foundation Council under Schedule 1(ii) to the Charter. No Tokenholder resolution is required to approve an amendment to this Framework, although the DLT Foundation Council retains discretion to consult the KAIA Governance Council or the wider Tokenholder community where it considers this appropriate.

Any major update to this Framework must first be confirmed by a Security Audit before it is approved by the DLT Foundation Council, in accordance with Charter Clause 24(b) and Section 25(3) of the Regulations.

The DLT Foundation Council shall exercise its Veto Rights under Charter Clause 11(a)(ii) in respect of any decision, including a decision of the KAIA Governance Council, that could lead to a detrimental result caused by an attack on this Framework.

4.3 Change-Control of DLT Systems

Changes to KAIA Network parameters are enforced through the GovParam System Contract. A governance proposal requiring a change to a network parameter is submitted with an attached transaction invoking GovParam; upon approval of the proposal, an authorised party executes the transaction, and Validators read and apply the new parameter value from the designated activation block onward, in a decentralised and automatically enforced manner. This mechanism constitutes the technical change-control path for DLT systems referred to in

Section 1 of this Framework. The organisational process by which governance proposals are discussed, submitted and voted upon is described in the White Paper and is not restated here.

4.4 Protocol Upgrades and Hardforks

Protocol upgrades and hardforks affecting the KAIA Network shall be managed through a controlled process that includes technical review, security assurance, governance procedures, and coordinated network activation.

The general process is as follows:

1. Proposal and Technical Review

Technical changes, including protocol upgrades and hardforks, may be proposed through the KAIA Network's established technical development processes. Material changes affecting protocol specifications, consensus rules, or core network behaviour shall, where appropriate, be documented and reviewed through a Kaia Improvement Proposal (KIP) setting out the technical purpose, specification, design, and potential impact. Corresponding code changes are proposed, reviewed, and managed through the Foundation's GitHub-based source code repositories and Pull Request process. Technical reviews are conducted based on the purpose, scope, and network impact prior to or in parallel with code implementation.

2. Governance Review and Approval

Proposed changes relating to decisions regarding the sustainable development and maintenance of the KAIA Network, amendments to the inflation or distribution rates, or other matters constituting Delegated Matters under the Charter shall be reviewed and voted upon through the applicable KAIA Governance Council governance process. All such decisions remain subject to review and potential exercise of Veto Rights by the DLT Foundation Council.

3. Development, Testing and Security Assurance

Following formal governance approval, the finalized release candidate codebase is implemented through the Foundation's controlled software development process and subjected to code review, testing and validation. In accordance with Section 7, material protocol upgrades and hardforks shall be subject to a formal third-party Security Audit by an independent IS Company.

4. Release, Scheduling and Activation

Following completion of the applicable technical, governance, and security review requirements, the relevant software shall be distributed through the Foundation's controlled release process. Where coordinated network activation is required, including in the case of a hardfork, a designated activation block or other appropriate activation point shall be determined and communicated in advance so that Validators have sufficient time to perform the necessary software upgrades and operational preparations.

5. Communication and Document Updates

Material protocol upgrades and hardforks shall be communicated through the Foundation's designated official channels to Validators, the KAIA Governance Council, and other relevant

stakeholders as appropriate. Where such a change requires an amendment to this Framework, the White Paper, the Smart Contract Registry, or any other Relevant Disclosure, the applicable amendment, publication, and filing procedures set out in Section 8 shall apply.

Where an urgent protocol change is required in response to a material security incident or Network disruption, the change may be handled in accordance with the emergency procedures described in Section 6.6.3.

5. Roles and Responsibilities

This Section sets out the roles and responsibilities of each entity participating in or supporting the DLT Foundation's DLT governance. Each entity has responsibilities related to incident response, as further described in Section 6.6.2.

Entity	Role	DLT-Specific Responsibilities
DLT Foundation Council (Councillors)	Governing body of the DLT Foundation. Takes decisions by Resolution of Councillors.	Approves the initial DLT Framework and any amendment by Resolution of Councillors; exercises Veto Rights over decisions that could compromise the integrity of the DLT Framework; appoints the IS Company (subsequent to the first appointment).
Founders (Finschia DLT Foundation; Klaytn Foundation Limited)	Founders of the DLT Foundation.	Make the first appointment of the IS Company;
KAIA Governance Council (Validators)	Tokenholders who operate Consensus Nodes.	Refer to the list of Kaia Governance Council here: https://square.kaia.io/GC
Corporate Service Provider	Provides corporate secretarial and registered office services to the DLT Foundation.	Assists with regulatory filings, including submission of this Framework and any amendment to the Registrar within fourteen (14) days of any amendment taking effect, in accordance with Section 25(4) of the Regulations; and the submission of Security Audit reports in favour of the Registrar where requested, in accordance with Section 7(1)(d) of the Regulations.
Information Security Company (IS Company)	Appointed information security firm; reputable and acceptable to the Registrar (Section 7(1)(d) of the Regulations).	Conducts annual Security Audits; issues reports confirming the DLT Framework is consistent with best practices; issues reports in favour of the Registrar where required.

Note: Entities identified in the White Paper as ecosystem partners without a DLT-specific governance or technical role (White Paper, Section 8.2) are not listed in this table. Reference is made to the White Paper for a complete description of the DLT Foundation's ecosystem relationships.

6. Security and Technical Measures

This Section describes the organisational, technical and security measures applied by the DLT Foundation to protect the integrity and security of its DLT and DLT Framework, in accordance with Section 23(4) of the Regulations.

6.1 Smart Contract Security

The KVM supports all Ethereum Virtual Machine opcodes and provides additional precompiled contracts specific to the KAIA Network, addressed in a descending range beginning at 0x03ff to avoid collision with standard EVM precompiled contracts. System Contracts are internally classified at the highest level of security.

The KAIA Network's consensus mechanism provides additional protection at the protocol level: block proposers are selected unpredictably through a Verifiable Random Function, reducing exposure to targeted denial-of-service attacks, and IBFT consensus provides immediate finality with no forking once a block is agreed, since validation and consensus occur at each block.

6.2 Key Management and Multi-Signature Arrangements

System Contracts (AddressBook, GovParam and SimpleBlsRegistry) are managed under multi-signature arrangements by default. Keys are stored, and transactions are signed, on an isolated device that is never connected to the internet, supported by internal manuals and tools for the systematic management of System Contracts. Key custody for System Contracts follows appropriate security standards under multi-signature control.

Note: Confidential annex required. Consistent with the approach the Registrar has accepted in comparable ADGM DLT Foundation filings, the signer composition, the threshold (for example, two of three), and the key custody and recovery arrangements for each multi-signature arrangement should be filed with the Registrar as a confidential annex to this Framework, rather than disclosed in the public document. The address(es) from which System Contract functions are executed should remain public in the Section 3.2 registry, as an address does not identify an individual and allows Tokenholders to verify actions independently.

6.3 Organisational Security Measures

The Foundation maintains robust technical and organisational security controls as following;

(a) Access Control and Authentication

The Foundation enforces Role-Based Access Control (RBAC) based on the principle of least privilege. Mandatory Multi-Factor Authentication (MFA) is applied across all critical operational and administrative systems. User sessions are managed with enforced timeouts and re-authentication requirements, and access permissions are revoked immediately upon personnel offboarding or role reassignment.

(b) Segregation of Duties

Operational duties are segregated to prevent concentrated authority over critical systems. Protocol development and code review functions are separated from the execution of administrative rights over System Contracts. Material administrative actions on System Contracts strictly require multi-party authorization via multi-signature mechanisms as specified in Section 6.2. and Appendix B – Confidential Annex.

(c) Protection Against Phishing and Social Engineering

Verification procedures are enforced for all requests involving administrative privileges, system configuration changes, funds, or cryptographic keys, including mandatory secondary-channel verification.

(d) Incident Reporting

Personnel are required to report any suspected credential compromise, server intrusion, or unauthorized activity immediately. Response protocols mandate rapid containment, including session revocation, credential re-issuance, server isolation, and log forensics. Detailed procedures for incidents affecting the DLT network and protocol are addressed separately in Section 6.6 Incident Response and Business Continuity.

(e) Security Training Program

The Foundation conducts ongoing security awareness training for all personnel, covering phishing identification, multi-factor authentication practices, secure key management, and emergency reporting protocols.

6.4 Technical Infrastructure, Development and Deployment Controls

The Foundation maintains technical infrastructure, software development, deployment and change-management controls designed to protect the integrity, security and reliable operation of the KAIA Network and the System Contracts within the scope of this Framework.

The KAIA Network adopts a multi-channel broadcast architecture to mitigate network congestion. Separate propagation channels are allocated for transactions and blocks so that newly generated blocks can continue to propagate in a timely manner even during periods of high transaction load. The Foundation also maintains monitoring arrangements to continuously observe the Network and the operational status of relevant infrastructure and Validators.

(a) Cloud Infrastructure

The Foundation uses Amazon Web Services (AWS) and Google Cloud Platform (GCP) to support the operation of the KAIA Network and related services. Cloud infrastructure is used to support Network operations, related services and technical systems, with the appropriate cloud environment selected according to the purpose, security requirements and operational requirements of each system.

Access to production infrastructure is restricted and managed in accordance with the Foundation's applicable access-control and security procedures described in Section 6.3.

For security reasons, details of individual cloud accounts, server configurations, network architecture, regions and other detailed infrastructure configurations are not disclosed in this Framework.

(b) Software Development and Change Controls

The source code of the KAIA Network is maintained through controlled source-code repositories and a Pull Request-based development process. Code changes are subject to review and testing appropriate to the nature and potential impact of the change before being incorporated into an official release.

The Foundation maintains development and change controls including source-code version control, peer code review, automated build and testing procedures, release version management and controls over material changes to source code and release artifacts.

Material changes affecting Consensus, Protocol Behaviour or other Network-critical functionality are subject to additional technical review and validation. Where appropriate, significant protocol or consensus changes are documented through the applicable technical specification or proposal process so that the intended behaviour can be reviewed together with the corresponding implementation.

Security vulnerabilities are handled through controlled reporting and remediation procedures. The Foundation also maintains responsible-disclosure and bug-bounty arrangements for the identification and remediation of potential vulnerabilities affecting the KAIA Protocol.

(c) Release and Deployment Controls

The Foundation uses GitHub Actions as its CI/CD environment to support automated software build, testing and release processes. Material software changes are released following the applicable code review, testing and validation procedures.

Software releases and release artifacts are managed through controlled and versioned release procedures. Where appropriate, material protocol changes are validated in a non-production environment before activation on the Production Network.

Where a release affects Consensus Rules or other Network behaviour and requires Validator software upgrades, the Foundation coordinates the relevant release and upgrade arrangements with Validators in order to support a stable Network transition.

For deployment activities involving AWS, GitHub Actions uses short-lived permissions based on OIDC (OpenID Connect) to access the required AWS resources, thereby reducing reliance on long-lived static Access Keys. Docker Images are distributed through the Foundation's official managed repositories, and major release version tags are managed through automated release procedures to reduce the risk of unauthorised or arbitrary manual changes.

Development and code-review functions are segregated from the execution of material administrative rights over System Contracts in accordance with Section 6.3(b).

(d) Smart Contract Deployment and Change Management

The deployment of new System Contracts, and material modifications, upgrades, migrations or replacements of existing System Contracts, shall be subject to technical review, testing and security assessment appropriate to the function and risk profile of the relevant Contract before Production deployment.

Production deployment of a System Contract shall be performed through the Foundation's controlled deployment and approval procedures and shall require authorisation by an authorised party or parties. Such deployment shall not be performed solely at the discretion of an individual developer.

Where deployment, upgrade or migration requires the exercise of administrative rights, the applicable Key Management and Multi-Signature controls described in Section 6.2 shall apply. As part of the deployment process, the Foundation shall perform appropriate verification of the deployed Contract, including, where applicable, the Contract Address, relevant configuration and administrative authority.

Newly deployed System Contracts shall be reflected in the Smart Contract Registry in Section 3.2 and Appendix A and shall be brought within the applicable post-deployment Monitoring arrangements described in Section 6.5.

Material upgrades, migrations or replacements of existing System Contracts shall be subject to substantially equivalent development, review, approval and deployment controls.

(e) Continuous Monitoring Tooling

The Foundation maintains continuous monitoring and alerting arrangements to observe the status of the KAIA Network and related infrastructure and to detect operational failures or anomalous conditions.

DataDog is used to collect and monitor key operational metrics across the Network and related systems. Where predefined conditions indicate an anomaly, alerts are delivered to the responsible operational personnel through designated notification channels, including Slack.

Detailed arrangements for post-deployment Monitoring, Alerting and Incident Detection are described separately in Section 6.5.

6.5 Post deploying Monitoring, Alert and Incident Detection

This Section describes the arrangements by which the DLT Foundation monitors, on a continuous basis, the DLT systems and smart contracts described in Sections 3.1 and 3.2 of this Framework following their deployment, detects anomalous or unauthorised activity, and escalates detected events for response. These arrangements form part of the organisational, technical and security measures applied by the DLT Foundation to protect the integrity and security of its DLT and DLT Framework, in accordance with Section 23(4) of the Regulations, and are subject to assessment in each annual Security Audit in accordance with Section 7.3 of this Framework.

6.5.1 Scope of Monitoring

The DLT Foundation shall ensure that continuous monitoring is maintained in respect of each of the following (together, the “**Monitored Systems**”):

- **System Contracts and registry contracts.** The on-chain state of, and all transactions interacting with, each smart contract listed in the registry at Section 3.2 and Appendix A of this Framework, including in particular: (i) any invocation of an administrative, owner-restricted or multi-signature function; (ii) any change to the Validator list recorded in AddressBook; (iii) any parameter change recorded in, or read by Validators from, GovParam, and the correspondence of each such change to a duly approved governance proposal under Section 4.3; and (iv) any registration or modification of BLS keys in SimpleBlsRegistry.
- **Multi-signature executing addresses.** All outbound transactions initiated from the address(es) from which System Contract functions are executed, as identified in the Section 3.2 registry, so that any transaction not originating from an authorised signing ceremony conducted in accordance with Section 6.2 is identified and escalated. All contracts listed in Section 3.2 are within the monitoring scope.
- **Network and consensus health.** The operational health of the KAIA Network, including block production continuity and block time, finality, Consensus Node participation and quorum, Proxy Node and Endpoint Node availability, transaction throughput and mempool congestion, and peer-to-peer propagation across the multi-channel broadcast architecture described in Section 6.4.
- **Foundation-operated infrastructure.** The nodes, cloud infrastructure, signing devices (to the extent technically capable of monitoring consistent with their offline, isolated storage under Section 6.2), repositories and supporting digital infrastructure operated by or on behalf of the DLT Foundation, as described in Section 6.4.

The principal technical infrastructure directly operated or managed by the Foundation is organised into the following categories:

- **Source Code and Repository Infrastructure:** GitHub repositories and related code management environments used to manage the source code and change history of the KAIA Network and related systems.
- **CI/CD Infrastructure:** GitHub Actions-based CI/CD environments used to automate software build, testing, release, and deployment processes.
- **Cloud Infrastructure:** Cloud infrastructure based on Amazon Web Services (AWS) and Google Cloud Platform (GCP) used to support network operations and related technical services.
- **Network and Node Infrastructure:** Nodes and related network infrastructure directly managed by the Foundation to support the operation of the KAIA Network and monitor network status.

- **Artifact and Container Infrastructure:** Official repositories and related deployment infrastructure used to manage and distribute release artifacts and Docker images.
- **Monitoring and Alerting Infrastructure:** DataDog-based monitoring infrastructure and designated notification channels used to continuously monitor the status and key operational metrics of the network, nodes, and related systems.
- **Supporting Operational Infrastructure:** Other technical and operational support systems required for the operation, deployment, and management of the systems described above.

These infrastructure components are managed in accordance with the Foundation's internal asset management and access control procedures. For security reasons, details such as individual cloud accounts, Project IDs, server hostnames, IP addresses, regions, network configurations, and other detailed asset information are not disclosed in this Framework. A detailed infrastructure inventory is maintained separately by the Foundation for internal management purposes.

- **External threat intelligence.** Publicly disclosed vulnerabilities, exploits and threat intelligence relevant to the KVM, the Solidity toolchain, client software releases and dependencies used by the KAIA Network, and comparable EVM-compatible networks.

6.5.2 Monitoring Tools and Methods

Monitoring of the Monitored Systems is performed through a combination of: (a) automated on-chain monitoring tooling configured to observe the contracts, addresses and events described in Section 6.5.1; (b) infrastructure and application monitoring deployed across the DLT Foundation's digital infrastructure and, as described in Section 6.4, across all Validators; and (c) periodic manual review and reconciliation performed by the personnel identified in Section 6.5.5. Monitoring shall operate on a continuous, 24/7 basis.

The Foundation uses a combination of infrastructure monitoring tools and on-chain security monitoring tools to monitor Kaia Network continuously regarding technical infrastructure, and key on-chain activities.

Network and Infrastructure Monitoring

The network, node, and related infrastructure status of the KAIA Network is continuously monitored primarily through DataDog.

Key monitoring areas include:

- Block production and network availability
- Validator and node status
- Network connectivity and peer status
- Resource and performance metrics
- Other anomalies relevant to network operations

When an anomaly is detected based on predefined conditions, the relevant alert is delivered to the responsible operational personnel through designated **Notification Channels** and, where necessary, escalated in accordance with the applicable Incident Response procedures.

On-chain and Smart Contract Monitoring

The Foundation uses Blockaid to monitor key System Contracts and related on-chain activities for security purposes.

Blockaid is used to detect anomalous activity and potential security threats involving key smart contracts and on-chain transactions. Where necessary, the relevant personnel review and assess the detected events.

The monitoring scope is determined based on the importance and risk profile of the relevant systems and may include the execution of administrative functions, abnormal contract interactions, and other security-relevant on-chain activities.

Alerting and Response

Where a monitoring tool detects an anomaly or a potential security event, an alert is delivered to the relevant personnel.

The operational personnel review the event and, where appropriate, take actions including:

- reviewing the event and relevant logs;
- reviewing on-chain transactions and contract activity;
- assessing the potential impact and severity;
- escalating the matter to the relevant technical or security personnel; and
- initiating the applicable Incident Response procedures where necessary.

Use of Third-Party Monitoring Services

The Foundation uses specialist Third-Party Monitoring and Security Services, including DataDog and Blockaid, to support certain monitoring functions.

These services support activities such as collecting and analysing network and system status, detecting on-chain activity, and generating alerts.

However, even where third-party services are used, responsibility for reviewing monitoring results, determining whether an Incident has occurred, escalation, and final response remains with the Foundation.

Through these arrangements, the Foundation monitors both infrastructure-level operational conditions and on-chain security events in order to identify and respond to potential operational failures or security threats in a timely manner.

Note: Where a third-party monitoring provider is engaged, the DLT Foundation should ensure that the arrangement is documented in a written agreement addressing service levels, confidentiality, data protection and escalation obligations, and that the provider's role is reflected in the Roles and Responsibilities table at Section 5 of this Framework.

6.5.3 Alerting and Severity Classification

Automated alerts shall be generated, without undue delay, upon detection of any of the following events (each, a “Monitored Event”): (a) any transaction invoking an administrative or multi-signature function of a System Contract; (b) any transaction from a multi-signature executing address that does not correspond to an authorised signing ceremony; (c) any parameter change in GovParam that does not correspond to a duly approved governance proposal; (d) any unexpected change to the Validator set or BLS key registry; (e) interruption of block production, loss of finality or degradation of consensus participation below the quorum required by the IBFT consensus described in Section 3.1; (f) unavailability or degraded performance of Foundation-operated nodes or infrastructure; and (g) publication of a vulnerability or exploit assessed as relevant to the Monitored Systems.

Each Monitored Event shall be assigned a severity classification upon detection. Unless otherwise determined in accordance with the internal procedures referred to in Section 6.5.5, Monitored Events shall be classified as: Critical (actual or suspected unauthorised transaction, key compromise, exploit of a System Contract or the KVM, or network-wide loss of block production or finality); High (material degradation of consensus participation, node availability or contract functionality without evidence of compromise); Medium (anomalies requiring investigation but without immediate operational impact); and Low (informational events logged for trend analysis and periodic review).

The Foundation continuously monitors events arising from the KAIA Network, related infrastructure, and on-chain activities of System Contracts, and classifies alerts according to the nature of the event and its potential impact.

Network and Infrastructure Alerts

From a network and infrastructure perspective, the Foundation monitors key operational indicators such as block production, Validator and Node status, peer connectivity, round changes, RPC availability, and the availability of critical services.

Where predefined thresholds are exceeded or conditions that may affect normal network operations are detected, an alert is notified. Alerts are classified according to impact, ranging from general operational warnings to Critical events.

In particular, the following types of conditions are treated as higher-severity events because they may directly affect consensus, block production, or network availability:

- sustained interruption or material degradation of block production;
- abnormal conditions affecting multiple Validators or Consensus Nodes;

- abnormal increases in Consensus Rounds;
- failures that may affect Network Quorum or the ability to maintain consensus; and
- widespread outages affecting key RPC or network services.

On-chain System Contract Alerts

The Foundation monitors key events and on-chain activities of the System Contracts identified as being within the scope of the DLT Framework.

System Contract events are classified according to the importance of the relevant function and their potential security impact. Functions capable of affecting administrative authority or network state are subject to a higher level of security monitoring.

Examples of events that may be treated as higher severity include:

- events involving Owner or Administrative Privileges;
- execution of material administrative functions through multi-signature arrangements;
- changes to Validator or Network Configuration;
- changes to Governance Parameters;
- registration or modification of BLS Keys;
- changes to Contract Ownership or Administrative Authority;
- abnormal or unexpected System Contract interactions; and
- other events that may materially affect the Network or Foundation-controlled assets.

By contrast, routine events that are expected as part of normal operations may be classified at a lower level, with additional review or escalation performed where anomalous conditions or predefined security criteria are identified.

Severity Classification

Alert severity is generally determined based on factors including the likelihood of the event, scope of impact, criticality of the affected system, and potential impact on the Network or assets.

The following general classification applies:

Severity	General Criteria
Critical	Events requiring immediate response, such as consensus disruption, material impact on Network Availability, or unauthorised administrative activity involving critical System Contracts

Severity	General Criteria
High	Events that may materially affect the Network or critical System Contracts and require prompt review and response
Warning / Medium	Events outside normal operating ranges where no immediate Network or Security impact has yet been confirmed
Informational / Low	Routine state changes or events that require operational recording and observation

For System Contract-related events, the Foundation applies a conservative approach: events relating to administrative privileges, Network State, Validator configuration, Governance, or other security-sensitive functions are generally assigned a higher severity level.

Alert Review and Escalation

When an alert is generated, the relevant operational or technical personnel review the cause, scope of impact, and severity of the event.

Where an event is classified as Critical or High, it is prioritised for escalation to the relevant technical and security personnel and, where necessary.

Alerts are delivered to the responsible personnel through the Foundation's continuous monitoring arrangements, and response priority is determined based on the severity and actual impact of the relevant event.

6.5.4 Incident Detection and Escalation

A Monitored Event classified as Critical or High, or any other event which the personnel identified in Section 6.5.5 reasonably assess as indicating an actual or suspected compromise of the integrity or security of the DLT Foundation's DLT or of this Framework, shall be treated as a suspected incident and escalated without undue delay in accordance with the DLT Foundation's incident-response procedures in accordance with the Incident Response Plan described in Section 6.6.

Where a suspected incident could lead to a detrimental result caused by an attack on this Framework, the matter shall be escalated to the DLT Foundation Council without undue delay so that the Council may consider the exercise of its Veto Rights in accordance with Section 4.2 of this Framework and Charter Clause 11.

6.5.5 Roles, Responsibilities and Records

The Foundation maintains defined roles and responsibilities among the DevOps Team, Core Team, and DLT Foundation Council in relation to monitoring and alert response.

DevOps Team

The DevOps Team is responsible for day-to-day monitoring of the KAIA Network and related infrastructure, as well as the initial review of alerts.

Its key responsibilities include:

- Network, Node, and Infrastructure Monitoring
- Initial review and Triage of Alerts
- Assessing the scope and operational impact of failures or anomalies
- Reviewing relevant logs and system status
- Performing initial response and recovery actions where necessary
- Escalating issues to the Core Team where Protocol- or Consensus-level analysis is required

General infrastructure or operational issues are handled first by the DevOps Team. Where more in-depth technical analysis is required, the DevOps Team works with the relevant technical teams.

Core Team

The Core Team is responsible for analysing and responding to technical issues related to the KAIA Protocol, Consensus, System Contracts, and Core Client.

Where an Alert or Incident escalated by the DevOps Team is determined to relate to the Protocol, Consensus, or a System Contract, the Core Team performs activities including:

- Analysing Protocol and Consensus behaviour
- Reviewing System Contract and On-chain Activity
- Analysing the Core Client and related Code
- Supporting assessment of technical impact and Severity
- Reviewing necessary fixes, Mitigation, or Recovery measures
- Working with the relevant response teams to implement technical resolutions in the event of a material Incident

DLT Foundation Council

The DLT Foundation Council does not directly perform day-to-day monitoring activities but provides overall oversight and Governance in accordance with the DLT Framework.

Routine Warnings or operational Alerts are managed by the relevant operational teams. However, matters that may materially affect Network stability, security, Foundation-controlled System Contracts, or the Foundation's regulatory obligations, including Critical or High Severity Incidents, are escalated to the Council.

Where necessary, the Council reviews matters including:

- Material Incidents and their impact
- Significant Mitigation or Recovery measures
- Matters requiring Governance or policy decisions
- Matters that may require reporting to regulators or external stakeholders
- Remedial actions required following an Incident

All such records shall be made available to the IS Company as necessary or upon request and to the Registrar upon request in accordance with Section 14(4) of the Regulations. The DLT Foundation shall maintain records of alerts that result in an Incident escalation. Records relating to significant incidents, including the relevant alerts, severity classifications assigned, escalations made, remedial actions taken, and related monitoring configuration or threshold changes, shall be retained for a period of not less than three (3) years.

6.5.6 Review and Assurance

The adequacy and effectiveness of the monitoring, alerting and incident-detection arrangements described in this Section 6.5, including alert coverage, thresholds and escalation performance, shall be: (a) assessed in each annual Security Audit as part of the scope set out in Section 7.3 of this Framework; (b) reviewed following any Critical incident, any deployment of a new smart contract or material modification of an existing smart contract recorded in the Section 3.2 registry, and any material change to the KAIA Network protocol (including the transition toward a permissionless validator network described in the White Paper); and (c) updated where required in accordance with the amendment procedure set out in Section 8.3 of this Framework.

6.6 Incident Response and Business Continuity

This Section describes the procedures by which the DLT Foundation responds to Incidents affecting the integrity, security or availability of its DLT, its smart contracts or this Framework, and the arrangements by which the DLT Foundation maintains the continuity of its DLT-related operations in the event of disruption. These arrangements form part of the organisational, technical and security measures required by Section 23(4) of the Regulations, and are subject to assessment in each annual Security Audit in accordance with Section 7.3 of this Framework.

For the purposes of this Framework, an “**Incident**” means any event, whether detected through the monitoring arrangements described in Section 6.5 or otherwise identified or reported, that has compromised, or could reasonably be expected to compromise: (a) the integrity, security or availability of the KAIA Network, the KVM or any smart contract listed in the registry at Section 3.2; (b) the confidentiality, integrity or availability of the keys and multi-signature arrangements described in Section 6.2; (c) the DLT Foundation’s digital infrastructure described in Section 6.4; or (d) the accuracy, availability or integrity of this Framework as published in accordance with Section 8.1. Monitored Events classified as Critical or High under Section 6.5.3 shall be treated as suspected Incidents upon detection.

6.6.1 Incident Response Plan

The DLT Foundation shall maintain, and keep under review, a documented incident response plan (the “Incident Response Plan”) governing the response to Incidents through the following phases: (a) detection and reporting, through the monitoring and alerting arrangements described in Section 6.5 and through internal reporting channels available to personnel, Validators and service providers; (b) triage and classification, applying the severity classification set out in Section 6.5.3; (c) containment, being immediate measures to limit the impact of the Incident, including, where applicable, the measures described in Section 6.6.3; (d) eradication and remediation, being the removal of the cause of the Incident and the remediation of affected systems and contracts; (e) recovery, being the restoration of normal operations, verified against the monitoring baselines described in Section 6.5; and (f) post-incident review, in accordance with Section 6.6.5.

The Foundation maintains a separate Incident Response Plan to address operational failures, security incidents, and other material Incidents that may affect the KAIA Network and related technical infrastructure.

The procedures are internally documented in the form of the Mainnet Incident Response Guide, which includes procedures for internal response, Governance Council (GC) coordination, community communications, and engagement with ecosystem infrastructure partners, depending on the nature of the incident and the relevant stakeholders.

The Incident Response process generally consists of the following stages:

1. Detection — Detection of an Incident or anomaly through Monitoring and Alerts
2. Announcement — Notification of the Incident to relevant internal personnel and response teams
3. Communication — Communication with relevant stakeholders based on the scope and impact of the Incident
4. Recovery — Root cause analysis and implementation of necessary Mitigation, System Recovery, or Network Recovery measures
5. Follow-up — Ongoing monitoring of the Network and System following recovery
6. Incident Report — Documentation of the cause, impact, response actions, and recovery measures
7. Retrospective — Review of the response process and outcomes, and identification of necessary improvements

Depending on the type and Severity of the Incident, the DevOps Team, Core Team, and other relevant technical and operational personnel participate in the response. Critical or High Severity Incidents are subject to the appropriate internal Escalation procedures.

Documentation and Confidentiality

The Incident Response Plan is maintained in the Foundation’s internal access-restricted documentation system and is not publicly disclosed because it contains operationally and security-sensitive information.

The detailed response procedures may include internal Escalation structures, assigned roles and responsibilities, technical recovery procedures, communication procedures, and other security-sensitive operational information. Accordingly, this DLT Framework describes only the overall Incident Response framework and its key principles.

Through this approach, the Foundation sets out the overall Governance and Control Framework for Incident Response in the public DLT Framework, while detailed operational information necessary for actual Incident response is maintained confidentially under appropriate access controls.

6.6.2 Incident Response Team and Escalation

Responsibility for the execution of the Incident Response Plan rests with an Incident Response Team led by an Incident Commander, under the oversight of Foundation Leadership (Control Tower), and comprising designated representatives across DevOps, Core Engineering, Ecosystem/Business Development, Communications, Legal, and Security functions, as well as GC/Validator Node Operators.

Incident Response Team

The principal roles and responsibilities are as follows:

- Control Tower / Foundation Leadership :
 - Oversees the Foundation-wide response to material Incidents and convenes emergency meetings where necessary. It also coordinates Communication and Escalation with the DLT Foundation Council in relation to material Network or Security Incidents.
- Incident Commander :
 - Leads the overall Incident Response process for Critical or similarly material Incidents. The Incident Commander assesses the Severity and scope of impact, organises the necessary response teams, and coordinates technical response, Network Recovery, and Communication activities.
- DevOps Team :
 - Performs initial Detection and Triage of Incidents through Network and Infrastructure Monitoring. The team reviews relevant Logs and System status, performs initial response actions, and escalates the matter to the Core Team and Incident Commander where Protocol- or Consensus-level analysis is required.
 - The DevOps Team also performs recovery activities relating to Network and Node operations. Where necessary, it works with Validators and GC Node Operators to perform Node Restarts, Re-synchronisation, Configuration Changes, Binary Rollbacks, or other Network Recovery measures.
- Core Team / Cause Analysis & Resolution :

- Analyses technical causes relating to the KAIA Protocol, Consensus, Core Client, and System Contracts. Where necessary, the team prepares Hotfixes, Client Updates, or other technical Mitigation measures and supports resolution of the Incident.
- Biz Team :
 - Where an Incident affects exchanges, institutions, major DApps, or other Business/Ecosystem Partners, the Biz Team communicates the Incident status, scope of impact, and Recovery progress to the relevant partners and coordinates any necessary actions.
- Ecosystem Development Team :
 - Where an Incident affects RPC Providers, Explorers, Wallets, or other Ecosystem Infrastructure Partners, the Eco Team is responsible for communicating with the relevant infrastructure partners, providing information on Network status and required technical actions, and coordinating the response.
- Community / Communication Function :
 - Where an Incident affects users or the Community, this function provides necessary external Communications based on verified information and provides updates regarding Incident progress and Recovery status.
- GC / Validator Node Operators :
 - In the event of a Network-level Incident, GC and Validator Node Operators participate in the relevant Communication Channel or War Room and carry out coordinated Node operation measures as required for Network Recovery.

Depending on the nature of the Incident, Security, Legal, or other relevant functions may also participate.

The Foundation maintains 24/7 continuous automated monitoring and alerting arrangements that trigger immediate escalation and team activation upon detection of Critical or High Severity Incidents. The incident response team shall be activated upon classification of any Incident as Critical or High.

The DLT Foundation Council shall be informed without undue delay of any Incident classified as Critical, and of any Incident that could lead to a detrimental result caused by an attack on this Framework, so that the Council may consider the exercise of its Veto Rights in accordance with Section 4.2 of this Framework and Charter Clause 11, and any other Reserved Matter.

The Incident Response Team shall be activated upon classification of any Incident as Critical or High. Routine operational warnings and lower-severity Incidents shall initially be managed by the relevant Operational Teams.

(a) Critical Incidents and Material Impacts: Any Incident classified as Critical, or any Incident that may have a material impact on the Network or the Foundation, shall be escalated immediately to the Incident Commander and Control Tower, and reported to the DLT Foundation Council without undue delay. Material impacts include, but are not limited to:

- Incidents materially affecting Network-wide Block Production or Finality;
- Incidents materially affecting Consensus or Validator operations;
- Material Security Incidents involving System Contracts or Administrative Authority;
- Suspected Key Compromise or Unauthorized Transactions; and
- Incidents that may materially affect the Foundation's assets, Governance, or regulatory obligations.

(b) High: High Severity Incidents shall be assessed based on their actual impact and potential duration, and escalated to Foundation Leadership and the Council where appropriate.

(c) Medium, and Low Severity Incidents: Medium or Low Severity Events shall be managed by the relevant Operational Teams unless their impact increases or their Severity classification is raised.

Governance & Communication Channel: Communication with the DLT Foundation Council shall be coordinated through the Control Tower and Foundation Leadership rather than relying on a single designated individual. The Control Tower shall coordinate technical root-cause analysis, Network recovery, and emergency discussions with the Council, Governance Council (GCs)/Validators, business partners, ecosystem infrastructure partners, and the community.

6.6.3 Containment Measures Specific to DLT Systems

Where an Incident affects the Monitored Systems described in Section 6.5.1, containment measures may include, as applicable and proportionate:

- **System Contracts under multi-signature control.** Upon the occurrence of a Security Incident or identification of a material vulnerability in a System Contract, the Foundation implements appropriate containment measures tailored to the contract's technical architecture and authority structure. Response actions may include restricting administrative functions, limiting contract interactions, pausing, upgrading, or migrating affected contracts. As emergency capabilities such as pause, disable or upgrade vary by contract, specific containment measures are determined based on each contract's technical design. All material administrative actions are strictly subject to the Multi-signature approval mechanisms set forth in Section 6.2.
- **Key compromise.** Immediate cessation of use of the affected key material, execution of the key recovery and replacement arrangements recorded in the confidential annex referred to in Section 6.2, and verification on-chain that no unauthorised transactions have been executed from the affected addresses.
- **Flaws in Immutable Contracts.** Where a flaw is identified in an Immutable Contract that is currently in active use by the DLT Foundation and a code-level remediation is not possible, the DLT Foundation shall assess and implement appropriate response measures, taking into account the nature and impact of the flaw. Such measures may include, as applicable:

- (i) assessing whether the affected functionality can be isolated, restricted, or bypassed at the Protocol or Client Level;
- (ii) where remediation requires it, preparing, auditing, and deploying a Replacement Contract and establishing and implementing an appropriate Migration Plan for affected State, Balances, or References. As appropriate depending on the circumstances of the relevant Immutable Contract, the applicable Governance and approval procedures set out in this Framework shall be followed;
- (iii) communicating relevant information to affected persons in accordance with Section 6.6.4.

The specific response measures available in practice may vary depending on the technical design and functionality of the relevant Immutable Contract.

- **Consensus or network-level Incidents.** Coordination with Validators and the KAIA Governance Council to restore block production, finality or quorum, including, where necessary, the preparation and scheduling of an emergency client release or hardfork; any such protocol change shall be subject to the governance arrangements described in Section 4 of this Framework, save that where an Incident relates to a Node, the Network, or Infrastructure, the Foundation may implement appropriate Containment measures as necessary, including:
 - Network isolation of affected Nodes or Servers;
 - revocation and replacement of relevant Credentials, API Keys, or Cryptographic Keys;
 - Node Restart or Re-synchronisation;
 - Configuration changes;
 - Binary Rollback to a previously stable Version; and
 - temporary restriction of access to affected Infrastructure or Services.

These measures are carried out by the DevOps Team, Core Team, and other relevant personnel under the coordination of the Incident Commander.

Emergency Authorization

In an emergency that materially affects Network Security or Stability, a more rapid response than the standard Release process may be required.

In such circumstances, the Foundation may implement an emergency Hotfix, Client Update, Configuration Change, or Protocol-level Mitigation following the necessary technical review and internal approval procedures.

Where urgent security action is required to prevent further harm to the Network, the necessary response measures may be implemented as a priority, with any required Security Review or Audit completed subsequently in accordance with the Foundation's internal policies.

Material changes associated with a Critical or High Severity Incident are Escalated to the Incident Commander and Foundation Leadership. Where the change may materially affect Governance or the Network, the Foundation also coordinates with the DLT Foundation Council as appropriate.

Communication and Recovery

Where a Containment measure may affect Validators, GCs, Exchanges, DApps, Wallets, RPC Providers, Explorers, or other Ecosystem Infrastructure, the relevant teams communicate the necessary technical actions and Recovery information to the affected stakeholders.

Once the Incident has been stabilised, the Foundation reviews the cause and impact and, where necessary, implements a permanent Fix, Contract Migration, Client Update, or other remedial measures.

- **Infrastructure Incidents.** Isolation of affected nodes or environments, failover to redundant infrastructure, credential rotation and, where third-party providers are affected, invocation of the escalation and remediation provisions of the relevant service agreements.

6.6.4 Communications and Notifications

The Incident Response Plan shall provide for communications and notifications in respect of Incidents as follows:

- **Registrar..** The Foundation shall notify the Registrar of any Incident that materially affects the integrity or security of the DLT Foundation's DLT or this Framework, or that requires an amendment to this Framework or to any other component of the Relevant Disclosure (a "**Material Incident**"). For the purposes of this Section, a Material Incident is deemed to occur when an event (i) causes severe disruption to the core operations or security of the KAIA Network, or (ii) necessitates a formal amendment to this Framework. Such notification shall be made to the Registrar without undue delay following the completion of the Foundation's initial assessment confirming that the Incident meets this threshold. If the Incident requires an amendment to this Framework, the Foundation shall follow the compliance audit, amendment, and filing procedures set forth in Section 8.3 of this Framework and Section 25(4) of the Regulations.
- **Validators, KAIA Governance Council and Tokenholders.** Timely and accurate communication of Incidents affecting the operation of the KAIA Network, the validity of transactions or the security of user interactions with smart contracts shall be published through the DLT Foundation's primary official channels listed below;
- Official X Account: @kaiachain
- Official Community Channels: Kaia Official Discord (discord.gg/kaiachain)

- Official KAIA Governance Forum (<https://govforum.kaia.io/>) and dedicated GC/Validator Incident Response Channels

Tokenholders, Validators, and Ecosystem Partners shall rely exclusively on announcements published through these designated channels to verify authentic incident communications. Security-sensitive internal details or unverified hypotheses shall not be publicly disclosed during an active Incident response. However, depending on the urgency of the situation, designated Foundation personnel may communicate with Validators and Ecosystem Partners in real time through separate communication channels

- **Data protection.** Where an Incident involves a breach of personal data, assessment and, where required, notification in accordance with the applicable ADGM data protection rules and regulations referred to in Section 23(1) and 23(2) of the Regulations. Kaia DLT Foundation does not collect or process any personal data in connection with its DLT operations. Accordingly, within the scope of the DLT operations and Incident Response procedures described in this Framework, matters relating to Personal Data processing and the appointment of a Data Protection Officer (DPO) are not applicable. The Foundation also does not disclose personally identifiable information in Incident communications and limits such communications to information necessary for Network and technical Incident response.
- **IS Company.** Reporting of Incidents to the IS Company shall be required only where an Incident necessitates a structural modification an update to this Framework pursuant to Sections 4.2 and 7.5. Such reporting shall be made in connection with the next scheduled Security Audit, or earlier if required to confirm the proposed update.
- **Law enforcement and other authorities.** Reporting to law enforcement or other competent authorities where the Incident involves suspected criminal conduct, or where reporting is required by the laws, rules and regulations referred to in Section 23(2) of the Regulations.

6.6.5 Post-Incident Review and Testing

Following the closure of any Critical or High Incident, the DLT Foundation shall conduct a post-incident review addressing the root cause, the timeline of detection and response measured against the targets referred to in Section 6.5.3, the effectiveness of containment and communications, and any remedial actions, including any resulting updates to this Framework (which shall follow the amendment procedure in Section 8.3), to the Section 3.2 registry, to the risk register in Section 9, or to the monitoring arrangements in Section 6.5. The DLT Foundation shall test the Incident Response Plan and the business continuity and disaster recovery arrangements at least annually, including by way of scenario-based exercises covering, on a rotating basis, key compromise, smart contract exploit (including a flaw in an immutable contract), and network or infrastructure disruption. Summaries of post-incident reviews and test results shall be documented internally and made available to the IS Company

only if required by applicable regulations, directed by the Registrar, or reasonably requested during the scheduled annual Security Audit.

The DLT Foundation shall maintain and execute a regular incident response testing program to evaluate operational readiness and system resilience. The Foundation conducts emergency drills and incident response exercises at least once every six (6) months in accordance with its internal procedures. The Foundation confirms that such incident response exercises have been routinely conducted to date to assess detection capabilities, escalation pathways, network recovery protocols, and stakeholder communications under simulated emergency conditions.

Emergency drills are structured around realistic operational threat scenarios, including network disruptions, consensus anomalies, node failures, and security breaches. Each drill tests:

- Automated threat detection and initial triage;
- Activation of the Incident Response Team and coordination by the Incident Commander;
- Technical escalation protocols between the DevOps and Core team;
- Network recovery and protocol mitigation procedures; and
- Internal and external communication channels (including coordination with GC/Validator operators and ecosystem partners).

Following each drill or live Incident, the Foundation conducts a mandatory Post-Incident Review (Retrospective) to analyze root causes, response timeliness, and recovery outcomes. Identified operational improvements are systematically incorporated into the Foundation's monitoring, alerting, and incident response procedures. Comprehensive records of all drills, retrospectives, and remedial action plans are retained as confidential operational records.

6.6.6 Records

The DLT Foundation shall maintain records of all escalated incidents, including classification, timeline, actions taken, communications made, post-incident reviews and test exercises. Such records shall be retained for a period of not less than 3 years and shall be made available to the IS Company for the purposes of each Security Audit and to the Registrar upon request in accordance with Section 14(4) of the Regulations

7. Security Audits

This Section sets out the DLT Foundation's obligations and procedures in respect of Security Audits, as required by Section 23(4) of the Regulations and Charter Clause 22.

7.1 Frequency

The DLT Foundation shall conduct Security Audits at a minimum annually, in accordance with Clause 22 of the Charter and Section 23(4) of the Regulations. The annual cycle commences from the date of completion of the first Security Audit.

7.2 Information Security Company

The IS Company is appointed as follows:

- First appointment: made by the Founder(s);
- Subsequent appointments: made by the DLT Foundation Council no less than thirty (30) days before the end of the audit period, in accordance with Charter Clause 22(b).

The IS Company must be reputable and acceptable to the Registrar, as required by Section 7(1)(d) of the Regulations. The IS Company must confirm that the DLT Framework is consistent with best practices in information security and DLT governance.

7.3 Scope of Security Audit

- Assessment of the integrity and security of the DLT Foundation's DLT systems, including all smart contracts listed in the registry at Section 3.2 of this Framework.
- Verification that this Framework is consistent with applicable best practices in information security and DLT governance.

7.4 Filing with the Registrar

The DLT Foundation shall file a copy of each completed Security Audit with the Registrar within fourteen (14) days of the date of completion of the audit, in accordance with Section 23(4) of the Regulations. A late filing fee applies for non-compliance with this deadline, in accordance with Section 23(6) of the Regulations.

Where the DLT Framework is amended and the amendment takes effect following DLT Foundation Council approval, the DLT Foundation shall file a copy of the updated DLT Framework with the Registrar within fourteen (14) days of the amendment taking effect, in accordance with Section 25(4) of the Regulations. Where the Registrar requests a report following a Security Audit, such report shall be issued in favour of the Registrar by the IS Company, in accordance with Section 7(1)(d) of the Regulations.

7.5 DLT Framework Update Condition

Any update to this Framework must be confirmed by a Security Audit before it is approved by the DLT Foundation Council, in accordance with Charter Clause 24(b) and Section 25(3) of the Regulations. No amendment to this Framework shall be approved by the DLT Foundation Council without prior Security Audit confirmation of the proposed changes.

7.6 Prior Security Audit History

We have conducted the security audits below upon Kaia launch. There were a few more audits done for internal security purposes which were not submitted to ADGM while we maintained the Kaia Network.

Period	Auditor	Scope
April 2024	Hacken	kaiachain/kaia repository — Smart Contract Code Review and Security Analysis Report
June 2024	Hacken	kaiachain/kaia repository — Smart Contract Code Review and Security Analysis Report for Kaia
March 2025	Certik	Security audit of Kaia v2.0.0 (chain)
May 2025	Hacken	kaiachain/kaia + kaiachain/cldex-contracts — Smart Contract Code Review and Security Analysis Report for Kaia
August 2025	CertiK	Security audit of Kaia v2.1.0
November–December 2025 (completed on 24 December 2025)	CertiK	ADGM compliance audit covering system_contracts, cldex-contracts, (including AddressBook, Registry, GovParam, SimpleBlsRegistry, etc.)
November 2025	CertiK	Security audit of the FNSA post-shutdown Bridge
January 2026	CertiK	Security audit of Kaia v2.2.0
April 2026	CertiK	Security audit of Kaia v2.2.2 (Flexible Reward) — Scope: github.com/kaiachain/kaia

8. Version Control and Publication

8.1 Publication

This DLT Framework shall be publicly available via a stable, versioned hyperlink, as required by schedule: Definitions (definition of 'DLT Framework', paragraph (b)) of the Regulations and the Charter. The document is dated and version-controlled to enable stakeholders and the Registrar to identify the current and historical versions at all times. The published text shall be identical to the version filed with the Registrar and kept synchronised whenever it changes.

Document availability: The document shall be maintained accessible at the published URL at all times. In the event of a change of publication URL, the Registrar and the Tokenholders shall be notified and the Charter updated accordingly, in accordance with Section 25(4) of the Regulations.

8.2 Version History

Version	Date	Description of Changes	Approved By
1.0	August 2026	Initial DLT Framework, prepared in accordance with Section 25(3) of the Regulations and Charter Clause 24(a).	Resolution of Councillors dated 10th, August 2026.

8.3 Amendment Procedure

The procedure of amending this DLT Framework is as follows:

- **Proposal.** A proposed amendment may be initiated by the DLT Foundation Council, a Founder, or may arise from a technical change enforced through the on-chain governance mechanism described in Section 4.3.
- **Security Audit Confirmation.** The proposed amendment is submitted to the IS Company for review. The IS Company must confirm that the update is consistent with applicable best practices before the DLT Foundation Council may approve it, in accordance with Section 25(3) of the Regulations and Charter Clause 24(b).
- **Council Approval.** As the amendment of this Framework is a Reserved Matter under Schedule 1(ii) to the Charter, the DLT Foundation Council approves the amendment by Resolution of Councillors; no Tokenholder resolution is required.
- **Publication and Filing.** The updated DLT Framework is published at the stable URL (updated if necessary) and a copy is filed with the Registrar within fourteen (14) days of the amendment taking effect, in accordance with Section 25(4) of the Regulations.

Note: Pursuant to Section 25(4) of the Regulations, the 14-day filing obligation applies not only to updates to this DLT Framework but also to amendments to the Charter, updates to the White Paper, deployments of new or modified smart contracts, changes to the Tokenomics Paper (if any), and any other amendments to the Relevant Disclosure. Any relevant third-party assessments required by the Registrar must be filed within the same 14-day period. A

late filing fee applies in the event of default, in accordance with Section 25(5) of the Regulations.

9. Risk Management

This Section identifies the principal risk categories applicable to the DLT Foundation's DLT operations and describes the corresponding mitigation measures. This risk register shall be reviewed and updated by the Foundation as appropriate and made available for review in connection with the annual Security Audit specified in Section 7.3.

Risk Category	Risk Description	Mitigation Measure	Residual Exposure
Smart Contract Risk	Vulnerabilities in System Contracts or the KVM that could be exploited to cause unintended behaviour or loss of Foundation assets.	Multi-signature control over System Contracts; consensus-level validation of state changes; Continuous post-deployment monitoring, alerting and incident detection in accordance with Section 6.5. Incident response and business continuity procedures in accordance with Section 6.6.	Low to Moderate. Independent security audits reduce code-level risks in the relevant System Contracts. However, residual risks remain, including compromise or misuse of multi-signature keys, operational failures in signer coordination, and vulnerabilities or design flaws in immutable contracts that cannot be directly upgraded. Unforeseen Runtime, KVM, or Protocol-level vulnerabilities may also remain. These risks are managed through continuous monitoring, Key Management

Risk Category	Risk Description	Mitigation Measure	Residual Exposure
			controls, Multi-signature Governance procedures, and the Incident Response measures set out in Section 6.5.
Key Management Risk	Compromise, loss or misuse of the keys controlling System Contracts' multi-signature arrangements.	Offline, isolated key storage; internal manuals and controlled procedures for key management. Continuous post-deployment monitoring, alerting and incident detection in accordance with Section 6.5. Incident response and business continuity procedures in accordance with Section 6.6.	Medium, detailed confidential and sensitive information submitted to the Registrar Authority
Governance Risk	Failure of governance mechanisms to operate as intended, resulting in decisions inconsistent with the DLT Foundation's regulatory obligations.	Two-tier governance structure with DLT Foundation Council review and Veto Rights over KAIA Governance Council decisions; amendment of this Framework retained as a Reserved Matter of the DLT Foundation Council.	Low. Institutional governance layer maintains oversight over all DLT decisions
Regulatory Risk	Changes to applicable ADGM Regulations or guidance requiring amendments to the DLT Framework or DLT Infrastructure.	Annual Security Audit cycle; 14-day filing obligation with Registrar; amendment procedure aligned with the Regulations; ongoing monitoring of ADGM regulatory developments	Medium. Regulatory environment is evolving; this Framework will be updated as required.
Technology Migration Risk	Risks arising from the DLT Foundation's announced transition toward a permissionless validator network and other technical evolutions described in the White Paper.	Technical evolutions and the permissionless transition are governed under strict engineering and testing standards. Key controls include defined validator parameters (minimum 5,000,000 KAIA stake and maximum 50 active	Pending completion of the ongoing security audit and formal assessment.

Risk Category	Risk Description	Mitigation Measure	Residual Exposure
		validators). The Foundation allocates sufficient development and testing buffer periods, backed by ongoing third-party security audits of Core Client changes and System Contracts, to systematically reduce and manage operational risks.	
Third-Party Network Risk	Risks arising from reliance on Validators and infrastructure operated by third parties (KAIA Governance Council members) rather than the DLT Foundation itself.	Minimum staking requirement for Validators; VRF-based unpredictable proposer selection; IBFT consensus requiring a quorum of signatures for block finality. Continuous post-deployment monitoring, alerting and incident detection in accordance with Section 6.5. Incident response and business continuity procedures in accordance with Section 6.6.	Medium. Dependent on the continued participation of a sufficiently diverse Validator set.

Appendix A — Smart Contract Registry (Full Detail)

This Appendix constitutes the DLT Foundation’s comprehensive smart contract registry and forms part of this DLT Framework. It shall be updated in accordance with the amendment procedure set out in Section 8.3 whenever a new contract is deployed or an existing contract is modified.

A.1 AddressBook

Field	Detail
Contract Name	AddressBook
Network	KAIA Network (Mainnet)
Function	Manages the list of Validators participating in block creation and verification.
Contract Address	0x000000000000000000000000000000000000400
Block Explorer	0x000000000000000000000000000000000000400
Deployment Date	2019-06-24
Upgradeability	No
Governance / Key Control	Multi-signature arrangement; see Section 6.2 of this Framework and confidential annex.
Audit Status	CertiKAudit(2025-12-24). Audit Hash: 4831f49bbab1f0043ab45195ffc90bc054046bfb
Source Repository Code	https://github.com/kaiachain/kaia/blob/dev/contracts

A.2 GovParam

Field	Detail
Contract Name	GovParam
Network	KAIA Network (Mainnet)
Function	Key-value storage enabling enforceability of on-chain governance proposals; Validators read and apply approved network parameter changes from the designated activation block.
Contract Address	0x362976Cc2Ef6751DE6bf6008e3E90e1e02deCa51
Block Explorer	https://kaiascan.io/address/0x362976cc2ef6751de6bf6008e3e90e1e02deca51?tabId=contract&page=1
Deployment Date	2024-11-21

Field	Detail
Upgradeability	No
Governance / Key Control	Multi-signature arrangement; see Section 6.2 of this Framework and confidential annex.
Audit Status	CertiKAudit(2025-12-24). Audit Hash: 4831f49bbab1f0043ab45195ffc90bc054046bfb
Source Repository Code	https://github.com/kaiachain/kaia/blob/dev/contracts

A.3 SimpleBlsRegistry

Field	Detail
Contract Name	SimpleBlsRegistry
Network	KAIA Network (Mainnet)
Function	Stores BLS keys used by Validators.
Contract Address	0x3e80e75975bdb8e04B800485DD28BebeC6d97679
Block Explorer	https://kaiascan.io/address/0x3e80e75975bdb8e04b800485dd28bec6d97679?tabId=contract&page=1
Deployment Date	2024-01-17
Upgradeability	yes
Governance / Key Control	Multi-signature arrangement; see Section 6.2 of this Framework and confidential annex.
Audit Status	CertiKAudit(2025-12-24). Audit Hash: 4831f49bbab1f0043ab45195ffc90bc054046bfb
Source Repository Code	https://github.com/kaiachain/kaia/blob/dev/contracts